

These schemes offer better flexibility since they are not tied to pre-defined conditions and objectives. The fund manager has complete control in investing and divesting the holdings. If required, the fund manager can also liquidate the entire portfolio by allocating funds to liquid instruments or holding 100% cash until a suitable investment opportunity appears. Besides, such schemes can also invest in derivatives and employ hedging strategies.

Mukesh Kochar, National Head of Wealth at AUM Capital, says, "After the Covid-19 pandemic, the risk appetite of several investors revived. As a result, the post-Covid landscape has allowed the concept of PMS to gain a lot of momentum, turning what was a treacherous time into a boon for such schemes."

62 | PMS schemes have a fee structure comprising fixed and performance-based charges. Entry load, incurred during initial investment, fluctuates between 1% and 3%, while management charge—a recurring quarterly fee—ranges from 1% to 3%. Additionally, profit sharing fees are calculated based on a percentage of the portfolio's generated profits. Furthermore, clients looking to exit the scheme before a designated threshold, typically one to three years, may incur exit load charges ranging from 1% to 3%.

"Understanding the fee structure is paramount for investors. Whether it's fixed, variable, or hybrid, and in the case of management fees, if the period for which it is charged is quarterly, half-yearly or annual. Investors should also consider the tax impact. They should always ask about post-tax returns. A pre-tax return of 30% is very rosy, but that means your post-tax return ranges between 18% and 19%," says Hemant Shah, Fund Manager of Seven Islands PMS.

"Indian markets have reported a strong performance, with the

HOW TO CHOOSE THE RIGHT PMS



MANAGER EXPERTISE AND FIRM'S REPUTATION:
Prioritise experienced fund managers with consistently strong returns



INVESTMENT STRATEGY:
PMS schemes cater to all (equity, diversified, hybrid)—pick your investment path based on your financial goals



KNOW THE RESEARCH TEAM: A good team and portfolio managers invest well, report clearly, and can navigate volatility



FEE STRUCTURE AND TAX IMPACT:
Understand the complexity of PMS fees and the importance of knowing post-tax returns before investing

headline Nifty 50 index gaining over 27% in the last year. The broader Nifty 500 index surpassed this performance with returns of more than 38%. For HNIs/UHNIs, PMS can be a better product due to its bespoke and exclusive nature," says Ishan Daga, Fund Manager at boutique wealth management firm Dhanvesttor.

BEFORE INVESTING IN a PMS scheme, an investor must conduct a detailed and rigorous evaluation of the strategy, its risk-return profile, and track record. There are some other aspects that need attention as well.

An investor must understand the required rate of return they want and how much risk they can stomach, because there are options aplenty. "For example, an investor seeking higher returns may prefer a PMS [scheme] investing in small-caps or aggressive growth stocks vis-à-vis a PMS investing largely in large-caps or value stocks, which a conservative investor might prefer," explains Daga.

A PMS may follow several strategies to enhance returns—like large-, mid-, small-, or flexi-cap, or thematic strategies. "For investors considering newer PMS options, transparency regarding the investment approach and associated fee structure, along with the underlying thought process and investment strategies, are paramount," says Shah.

One important factor that should be considered is the tenure and involvement of the fund manager. While assessing a fund manager, it's important to consider their skill in selecting stocks wisely, adeptness in timing the market, and prudence in allocating weights to individual stocks and sectors.

"Past performance only indicates the fund manager's invest-